IN THE HIGH COURT FOR THE STATE OF TELANGANA
AT HYDERABAD
(Special Original Jurisdiction)

TUESDAY, THE TWENTY NINTH DAY OF SEPTEMBER
TWO THOUSAND AND TWENTY SIX

PRESENT

THE HONOURABLE SRI JUSTICE B.VIJAYSEN REDDY

WRIT PETITION NO: 2757 OF 2026

Between:

1. K. Narender Reddy, S/o. K. Laxma Reddy, Aged about 68 years, Occ. Business, R/o. H.No. 11-1-1789, Maruthi Nagar,Nizamabad.
2. K. Sudershan Reddy, S/o. K. Venkat Reddy, Aged about 70 years, Occ. Business, R/o. H.No. 5-6-58/A, Dwarakanagar, Nizamabad.
3. Smt. K. Shobha, W/o. K. Sudershan Reddy, Aged about 62 years, Occ. Household, R/o. H.No. 5-6-58/A, Dwarakanagar, Nizamabad.
4. Smt. K. Shamantha, W/o. K. Narender Reddy, Aged about 62 years, Occ. Service, R/o. H.No. 11-1-1789, Maruthi Nagar,Nizamabad.
5. K. Rahul Reddy, S/o. K. Narender Reddy, Aged about 41 years, Occ. Business, R/o. H.No. 11-1-1789, Maruthi Nagar,Nizamabad.
6. Smt. K. Deepika Reddy, W/o. K. Rahul Reddy, Aged about 41 years, Occ. Household, R/o. H.No. 11-1-1789, Maruthi Nagar,Nizamabad.
7. B. Ramesh Reddy, S/o. B. Limba Reddy, Aged about 66 years, Occ. Tax Consultant, R/o. Flat No. L-1, JB Residency, Pragathi Nagar, Nizamabad.
8. Smt. B. Niveditha, W/o. B. Ramesh Reddy, Aged about 59 years, Occ. Household, R/o. Flat No. L-1, JB Residency, Pragathi Nagar, Nizamabad.
9. Smt. C. Sabitha, W/o. C. Mahesh Chander Reddy, Aged about 59 years, Occ. Household, R/o. Flat No.B-1301, Fortune Towers, Madhapur, Hyderabad.

...PETITIONERS

AND

1. The State of Telangana, Rep. by its Principal Secretary to Government, Municipal Administration Department, Secretariat, Hyderabad.
2. The Nizamabad Municipal Corporation, Nizamabad, rep. by its Commissioner.

...RESPONDENTS

Petition under Article 226 of the Constitution of India praying that in the circumstances stated in the affidavit filed therewith, the High Court may be pleased to issue a Writ order or direction more particularly one in the nature of Writ of Mandamus to declare the entries relating to the arrears of property tax as shown in the official portal of the Respondent No.2 for the years 2009-2010 to 2024-2025 amounting to Rs. 8,16,61,254/- as illegal and arbitrary consequent to withdrawal of the demand which was duly recorded by this Hon'ble Court in W.P No. 13433 of 2025 and consequently to direct the Respondent No.2 to issue No-Due Certificate to the Petitioners to enable the Petitioner No.4 to contest in the ensuing elections to the Respondent No.2 corporation as a Corporator.

I.A. NO: 1 OF 2026

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the Respondent No. 2 to issue No-Due Certificate to the Petitioners and to stay recovery of arrears as shown in the official portal of Respondent No.2 pending disposal of the above Writ petition.

I.A. NO: 2 OF 2026

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the Respondent No.2 to refund the amount of Rs. 7,40,65,000/- to the Petitioners.

Counsel for the Petitioner: SRI SRINIVAS VELAGAPUDI

Counsel for the Respondent NO.1: GP FOR MCPL ADMN & URBAN DEV

Counsel for the Respondent No.2: SRI V.SATYAM REDDY,
SC FOR NZB MCPL COPR

The Court made the following: ORDER

IN THE HIGH COURT FOR THE STATEOF TELANGANA AT HYDERABD

THE HON'BLE SRI JUSTICE B. VIJAYSEN REDDY

WRIT PETITION No.2757 of 2026
(CNR.No.HBHC010054062026)

DATED: 29.09.2026

Between

K. Narender Reddy and others

...PETITIONERS

AND

The State of Telangana,
Rep. by its Principal Secretary,
Municipal Administration Department,
Secretariat, Hyderabad and other.

...RESPONDENTS

ORDER:

Writ petition is filed to declare the action of the respondent No.2 – Nizamabad Municipal Corporation in showing in its official portal arrears of property tax for the years 2009-2010 to 2024 - 2025 amounting to Rs.8,16,61,254/- payable by the petitioner for the property bearing H.No.5-6-687/3, Pragathinagar, Nizamabad, despite withdrawal of demand notice dated 20.03.2025 vide Assessment No.1046049240 of Rs.7,43,90,353/- including for the year 2024-2025, as being illegal and arbitrary,. The petitioners also sought for a consequential direction to the respondent No.2 to issue No-Due Certificate to enable the petitioner No.4 to contest in the ensuing election to the respondent No.2 – Corporation as Corporator.

2. The brief facts of the case are set out hereunder:

(a) A demand notice dated 20.03.2025 vide Assessment No.1046049240 was issued by the respondent No.2 to the petitioners to pay the alleged arrears of property tax with interest of Rs.7,43,90,363/- including for the year 2024-25 and the same was challenged in WP.No.13433 of 2025. The respondent No.2 appeared through its standing counsel and submitted that the demand notice was withdrawn vide Lr.No.A1/Zone-II/RI/2511/2025 dated 29.04.2025. Accordingly, WP.No.13433 of 2025 was disposed of as infructuous by recording the withdrawal of demand notice and the petitioners were given liberty to make representation for correction of entries in the official portal regarding the arrears of property tax payable in respect of the subject property and the respondent No.2 was further directed to pass appropriate orders in accordance with law as expeditiously as possible.

(b) Pursuant to the aforesaid order, representation dated 05.05.2025 was made by the petitioners to the respondent No.2 seeking correction of entries in the official portal by deleting the arrears in consequence to the withdrawal of the demand notice. But the respondent No.2 failed to act upon the same.

(c) Petitioner No.4 intended to contest as Corporator in the ensuing elections to the respondent No.2-Corporation pursuant to the election notification dated 27.01.2026. Petitioner No.4

approached the respondent No.2 to issue a No Due Certificate with regard to arrears of property tax, but the same was refused on the premise that the official portal still shows arrears of property tax. It is contended that arrears of property tax shown in the portal is illegal, more so, when demand notice dated 20.03.2025 was withdrawn. Thus, the action of the respondent No.2 in refusing to issue No Due Certificate is arbitrary and unjust.

(d) It is stated that the building construction over the subject property was made during the years 2009-2010 and the property was assessed vide H.No.5-6-687/3, (Assessment No.1046049240) and the property tax for the said building was assessed by the respondent No.2 by fixing property tax at Rs.2,70,170/- per annum after due measurement under proceedings dated 19.02.2010 and the petitioners have paid the property tax regularly up to 2013. Thereafter, respondent No.2 issued notice through Letter No.A2/163/2006 dated 19.05.2013 exorbitantly enhancing the property tax to Rs.17,35,416/- with effect from 01.10.2009 without any basis and without conducting any enquiry. The petitioner challenged the notice dated 19.05.2013 under the provisions of the Municipalities Act by filing an appeal before the Senior Civil Judge, Nizamabad vide CMA.No.1 of 2013. CMA was allowed by judgment dated 28.11.2018 setting aside the order enhancing the property tax and the respondent No.2 was given liberty to reassess the

property tax as per the law. Accordingly, the respondent No.2 reassessed the property tax for the property at Rs.9,12,708/- with effect from 01.04.2019 under proceedings in File No.D2/10964/ 2014/18-19 dated 20-10-2020. In pursuance of the reassessment orders, the petitioners have been paying the reassessed enhanced tax from 01.04.2019 onwards and the property tax was paid without any arrears. The petitioners had been paying the property tax at Rs.2,70,172/- as directed by the trial Court in IA.No.857 of 2013 in CMA No.1 of 2013.

(e) Respondent No.2 ignored its own reassessment orders fixing the property tax at Rs.9,12,708/- per year with effect from 01.04.2019 vide Proceedings dated 20.10.2020 and wrongly calculated the property tax at Rs.19,49,264/- and issued notice demanding the arrears of tax of the property erroneously and without any basis. The demand notice was withdrawn by letter dated 29.04.2025. The action of the respondent No.2 in refusing to issue No Due Certificate based on erroneous entries in their official portal is violative of Articles 14 and 21 of the Constitution of India.

3. The respondent No.2 filed a counter wherein it is stated as under:

(a) Pursuant to order dated 09.04.2025 in WP.No.13433 of 2025, the petitioners made representation dated 05.05.2025 to the respondent No.2 seeking for correction of entries in the official

portal by deleting the arrears in consequence to withdrawal of the demand notice dated 20.03.2025.

(b) The respondent No.2 issued notice dated 18.08.2025 informing the petitioners to cooperate with the Revenue staff of the Corporation for reassessment of the subject property on 26.08.2025, but the petitioners through their advocate addressed letter dated 25.08.2025 requested to postpone the reassessment for ten (10) days. The respondent No.2 issued a final notice on 26.08.2025 informing the petitioners to attend in person or through their representative for reassessment proceedings on 28.08.2025. Subsequently, the officials of respondent No.2 visited the subject property to take physical measurements for the purpose of reassessment. The petitioners and their representatives present at the site were completely non-cooperative and obstructed the officials from carrying out their statutory duties of taking measurements. Due to this deliberate obstruction by the petitioners, the reassessment proceedings could not be taken to their logical conclusion.

(c) The respondent No.2 refused to issue No Due Certificate to the petitioner since the official portal still shows arrears of property tax. The reflection of payments in the online portal is intrinsically linked to the verification of the property details against the approved building plan. The petitioners have, till date, failed to

produce the approved building plan for the subject property despite repeated requests and notices. In the absence of the approved plan, the payments made cannot be reconciled and updated against the assessment in the CDMA portal. The non-reflection of the part-payments is a direct consequence of the petitioners own failure to comply with mandatory procedural requirements. Pursuant to order passed in CMA.No.1 of 2013 dated 28.11.2018, the respondent No.2 reassessed the property tax for the property at Rs.9,12,708/- with effect from 01.04.2019 vide proceedings dated 20.10.2020.

(d) The respondent No.2 denied the claim of the petitioners that they had been paying the reassessed property tax from 01.04.2019 onwards. It is reiterated by the respondent No.2 that as per the official records and the CDMA portal, a substantial amount of Rs.8,16,61,254/- was outstanding as arrears of property tax against the petitioners property. Thus, No Due Certificate was rightly and legally refused to the petitioner No.4. In view of liberty granted pursuant to order dated 29.04.2025 in WP.No.13433 of 2025, the respondent No.2 initiated the process for reassessment. Notice dated 18.08.2025 was issued to the petitioners informing that the corporation is going to reassess the property tax for property bearing H.No.5-3-687/3 on 26.08.2025. The petitioners filed WP.No.24990 of 2025 challenging the said notice and later, the same was withdrawn by the petitioners on 22.08.2025. Thus, the

petitioners have an intention to drag on the reassessment of the property tax.

4. Heard Mr. Srinivas Velagapudi, learned counsel for the petitioners and Mr. V. Satyam Reddy, learned standing counsel for the respondent – Corporation.

5. Learned counsel for the petitioners submitted that there is no reference to any reassessment of property tax other than proceedings dated 20.01.2020 whereby the respondent No.2, admittedly, reassessed the property tax at Rs.9,12,708/- with effect from 01.04.2019 in compliance of the order passed in CMA.No.1 of 2013 dated 28.11.2018. The petitioner No.4 intended to contest as Corporator in the ensuing election to the respondent No.2 – Corporation and on the impending threat of rejection of nomination for not producing No Due Certificate from the respondent No.2, the petitioners paid Rs.7,43,90,363/- by compulsion. The respondent No.2 cannot take advantage of the said payment unless the payment is supported by some legal proceedings.

6. Learned standing counsel submitted that the writ petition is not maintainable as the petitioners have alternate remedy before the Commissioner by filing revision under Section 101 of the Telangana Municipalities Act, 2019. The petitioners approached this

Court by suppression of material facts. The petitioners voluntarily paid the dues of Rs.7,43,90,363/- at the time when the petitioner No.4 filed nomination to contest as Corporator during the municipal elections.

7. Learned counsel for the petitioners submitted that even if alternate remedy is available, it is settled law that this Court in Writ jurisdiction can entertain the writ petition when action of the respondent authorities is arbitrary, without jurisdiction and tainted with malafides.

8. It has been held by the Supreme Court in **WHIRLPOOL CORPORATION v. REGSITRAR OF TRADE MARKS**[1] and **ABL INTERNATIONAL LIMITED V. EXPORT CREDIT GUARANTEE CORPORATION OF INDIA LIMITED**[2] that existence of alternate remedy is not a bar for entertaining the writ petition, if action of the respondent authorities is violative of fundamental rights, principles of natural justice and wholly without jurisdiction. In the instant case, as seen from the record, petitioners earlier filed WP.No.13433 of 2025, which was disposed of by this Court by order dated 29.04.2025 on representation made by learned standing counsel for respondent No.2 that demand notice dated 20.03.2025 which was challenged in the writ petition has been withdrawn.

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[1] (1998) 8 SCC 1
[2] (2004) 3 SCC 553

Petitioners were permitted to make representation for correction of entries made in official portal. It is the case of the petitioners that the alleged dues of Rs.7,43,90,363/- reflected in the website of the corporation is erroneous and not substantiated by any legal assessment or order, thus, *ex facie* illegal. Thus, the contention of the learned standing counsel for respondent No.2 that writ petition is not maintainable cannot be appreciated.

9. As per order of this Court dated 03.09.2026, the learned standing counsel for respondent No.2 furnished record in File No.D2/10964/2014/18-19 pertaining to property tax of the petitioners. On scrutiny of the record, the following facts are revealed:

(a) Pursuant to order dated 28.11.2018 passed in CMA.No.1 of 2013 setting aside demand notice dated 03.11.2013, the intimation dated 21.10.2020 vide proceedings in File No.D2/10964/2014/18-19 was issued to the petitioner stating that the concerned Bill Collector, Revenue Inspector, TPS and ACP had visited the property for reassessing the property tax and measurements were recorded. The tax was assessed at Rs.9,12,708/-. It appears the petitioners had been regularly remitting the property tax through pay orders. The petitioners had been continuously reminding the Corporation that the property has to be reassessed as per orders in CMA.No.1 of 2023 dated

28.11.2018 and pay orders have been paid towards property tax. For the financial years 2020-21 i.e. from 01.04.2020 to 31.03.2021, the petitioners paid a sum of Rs.9,12,708/- through pay order dated 28.06.2021 to the Corporation. Intimation dated 05.07.2021 was issued by the Corporation informing the petitioners that pay orders for a sum of Rs.9,12,708/- has been returned as modification order regarding property tax in CGG online site is awaited from the Head Office. The petitioners were directed to acknowledge the return of pay order.

(b) Letter dated 28.03.2024 was issued by the petitioners intimating payment of Rs.9,12,708/- towards property tax for the year 2023-2024 i.e. 01.04.2023 to 31.02.2024, letter dated 20.03.2025 was issued intimating payment of Rs.9,12,708 towards property tax for the year 2024-25 i.e. 01.04.2024 to 31.03.2025. Subsequently, petitioners addressed a detailed representation dated 21.03.2025 requesting the Corporation to withdraw the demand notice dated 20.03.2025 stating that payment for a sum of Rs.7,24,41,102/- as arrears of tax and Rs.19,49,264/- towards due for the current year 2024-25 is incorrect and the property tax has to be reassessed as per the orders in CMA.No.1 of 2013.

(c) WP.No.13433 of 2025 was filed by the petitioners challenging demand notice dated 20.03.2025 wherein Mr. V. Satyam Reddy, learned standing counsel, placed on record

Lr.No.A1/Zone-II/RI/2511/2025 dated 29.04.2025 whereby the Corporation has withdrawn the impugned notice dated 20.03.2025. By recording the same, the writ petition was disposed of by order dated 29.04.2025 treating the matter has infructuous. The petitioners were given liberty to submit explanation for correction of entries made in the official portal regarding arrears of property tax payable by the petitioners. Accordingly, the petitioners submitted representation dated 05.05.2025 and the respondent No.2 issued letter dated 30.06.2025 to the petitioners to submit registration documents, link documents, municipal building sanction plan, property tax receipts from April 2009 onwards. Notice dated 18.08.2025 was issued to the petitioners that the office is going to reassess the property tax on 26.08.2025 as per order in WP.No.13433 of 2025. The petitioners were directed to cooperate with the Revenue Staff.

(d) However, in the meanwhile, petitioners addressed letter dated 25.08.2025 through their counsel to the respondent No.2 informing that the mother of the petitioners is seriously ill and as such, they could not attend at the time of proposed measurement of the building on 26.08.2025 and requested to postpone the proposed measurement by ten days. Thereafter, final notice dated 26.08.2025 was issued stating that the petitioners are avoiding reassessment proceeding on one pretext or the other.

The petitioners were informed that one last and final opportunity is given to attend reassessment of property tax in person or through authorized representative. Again reminder dated 14.10.2025 was issued by the petitioners to the respondent No.2 requesting to enter the remittances made by the petitioners, which are not seen in the records pertaining to Hotel Vamshee International, H.No.5-6-687/3, Pragathi Nagar, Hyderabad. Another letter dated 28.08.2025 was issued to the respondent No.2 requesting to make necessary update in their records by adding the missing remittances for a sum of Rs.23,65,760/-.

(e) The record also contains letter dated 23.10.2024 addressed to the Hon'ble Chief Minister by one G. Hanmantha Rao, Chief Engineer, R&B Retired, requesting Vigilance Enquiry to be initiated against the concerned officers for under-assessment of property tax for illegal, unauthorized constructions, wrong usage of building etc. resulting in loss of crores of rupees of revenue to the Corporation. Memo.No.5734/Vig.II(1)/2025 dated 03.04.2025 was issued pursuant to vigilance report dated 24.03.2025 in connection with property tax of buildings, namely, Nikhil Sai International Hotel, Devi Lodge, Thrimurthy Enterprises and Centro and directions were issued to the respondent No.2 to complete reassessment and fix the property tax of the above properties as per the existing provisions of the Act and Rules and to collect

arrears with penalty. The vigilance report No.48 dated 24.03.2025 reveals serious lapses committed by the officer of the Nizamabad Municipal Corporation in assessing the above properties.

10. Learned standing counsel furnished copy of statement of arrears of the petitioners over the subject property. The tax amount is shown as Rs.8,67,708/- beginning with 2009-2010 (2) i.e. for second half and more or less, the same tax component was shown from 2010-2011 to 2025-2026. But the same does not tally with reassessment of property tax at Rs.9,12,708/- with effect from 01.04.2019 as per proceedings dated 21.10.2020, (reassessment made as per orders in CMA.No.1 of 2013), which is the admitted case of the respondent No.2. The half yearly tax component is Rs.8,67,708/- which comes to Rs.17,35,416/- annually. When CMA.No.1 of 2013 was filed challenging enhancement of property tax at Rs.17,35,416/- vide Lr.No.A2/163/ 2006 dated 19.05.2013, the trial Court allowed the CMA by judgment dated 28.11.2018 setting aside the assessment of Rs.17,35,416/-.

11. Another astonishing fact noticed is the interest at Rs.31,41,674/- shown for tax amount of Rs.8,67,708/- (for the demand year 2009-2010) in respect of the subject property. How the interest has accumulated is neither explained in the counter nor the learned standing counsel is in a position to convince

this Court. During the hearing, it was specifically brought to the notice of the learned standing counsel that the interest component, shown at Rs.31,41,674/- for the demand year 2009-2010, scaled down to Rs.30,36,950/- for the demand year 2010-2011, brought down to Rs.17,404/- for the demand year 2025-2026 (first half) and the interest component is shown as '0' for the demand year 2025-2026 (second half). But there is no clarification given in the counter nor the learned standing counsel could explain such calculations.

12. On reconciliation of the records with the property tax statement furnished by the learned standing counsel, it is clear that the arrears of property tax shown in the official website are on the basis assessment for Rs.17,35,416/- vide letter dated 19.05.2013, which was set aside by the trial Court in CMA.No.1 of 2013 vide judgment dated 28.11.2018. There are no details produced before this Court relating to assessment of property tax prior to 2019. The counter affidavit of the respondent No.2 is silent regarding the same. It is not in dispute that the property tax was reassessed at Rs.9,12,708/- with effect from 01.04.2019 vide proceedings dated 20.10.2020, which according to the respondent No.2 was in compliance of order passed in CMA.No.1 of 2013 (Para 8 of the counter affidavit). Moreover, the demand notice dated 20.03.2025 for the alleged dues of Rs.7,43,90,363/- was withdrawn by

respondent No.2 after WP.No.13433 of 2025 was filed, which is another strong circumstance to hold that the action of the respondent No.2 is not fair and that official portal entries are erroneous and without any legal basis. Thus, *ex facie*, the official portal of the respondent No.2 reflected wrong entries showing outstanding amount as Rs.8,16,61,254/- (which was Rs.7,24,41,102/- at the time of filing WP.No.13433 of 2025).

13. The property of the petitioners, namely, Hotel Vamshee International is not part of the Vigilance enquiry. In the opinion of this Court, the most probable reason for the respondent No.2 not to comply with the order in CMA.No.1 of 2013 was to avoid further controversy in connection with the vigilance enquiry. The website information showing arrears of Rs.8,16,61,254/- is not supported by any documents and as observed above, entries were made based on the assessment, which was set aside in CMA.No.1 of 2013. No doubt, the petitioners paid a sum of Rs.7,43,90,363/-, but as seen from the background facts, it was paid out of compulsion on the perceived threat of rejection of nomination of the petitioner No.4 and not pursuant to any demand notice. Such payment cannot be treated as a legal tender. When the respondent No.2 is not able to substantiate its claim of arrears on property tax, it cannot take advantage of payment of amount by the petitioners, which otherwise they were not liable to pay. If the action of the

respondent No.2 is not interdicted it would amount to unjust enrichment and arm-twisting.

14. Learned counsel for the petitioners submitted that there are no dues payable by the petitioners to the Corporation. However, learned standing counsel for respondent No.2 submitted that amounts received from the petitioners for the assessment years 2019-20 onwards pertains to the property tax which was reassessed from 2019 onwards. Further, arrears for the year 2008-19 have not been paid by the petitioners. Learned counsel for the petitioners submitted that arrears have not been quantified as per the judgment in CMA No.1 of 2013 and only reassessment was done by order dated 21.10.2020 with effect from 01.04.2019.

15. It is the contention of the learned standing counsel and as stated in the counter affidavit, the petitioners are not cooperating with the revenue staff of the respondent No.2 during field inspection and measurement of the property.

16. In view of the above submissions, to meet the ends of justice, respondent No.2 is directed to retain an amount of Rs.42,65,000/- (Rupees Forty Two Lakhs Sixty Five Thousand only) which in the opinion of this Court would roughly satisfy the payment of arrears from 2008-2019 and the remaining amount of

Rs.7,00,00,000/- shall be returned to the petitioners within a period of four (4) weeks from the date of receipt of a copy of this order.

With the above observations, the writ petition is partly allowed. The miscellaneous applications, pending if any, shall stand closed. There shall be no order as costs.

SD/-/ A.H.S.GOWRI SHANKAR
ASSISTANT REGISTRAR

//TRUE COPY//

SECTION OFFICER

To,

1. The Principal Secretary to Government, Municipal Administration Department, Secretariat, Hyderabad.
2. The Commissioner, Nizamabad Municipal Corporation, Nizamabad,.
3. One CC to SRI SRINIVAS VELAGAPUDI, Advocate [OPUC]
4. One CC to SRI SATYAM REDDY, SC FOR NZB MCPL CORP [OPUC]
5. Two CCs to GP FOR MCPL ADMN & URBAN DEV, High Court for the State of Telangana, at Hyderabad [OUT]
6. Two CD Copies

PMK
PB

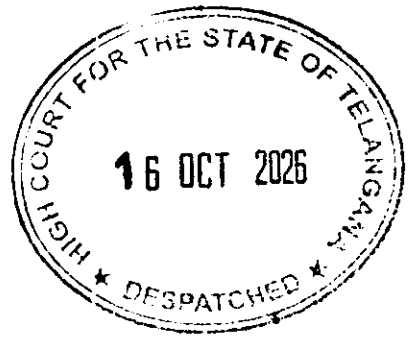
HIGH COURT

CC TODAY

DATED: 29/09/2026

ORDER

WP.No.2757 of 2026



PARTLY ALLOWING THE WRIT PETITION

WITHOUT COSTS

9 copies
by
16/10/26